

Multiple Choice

1. **Answer:** B

Options: A) inflation had already impacted the economy before the fiscal stimulus.; B) the economy initially had some unemployed resources.; C) aggregate supply decreased.; D) aggregate demand is steeply sloped.

Note: Correct option: B - the economy initially had some unemployed resources.

2. **Answer:** C

Options: A) increase interest rates and throw the economy into a recession.; B) increase interest rates and depreciate the nation's currency.; C) decrease interest rates and risk an inflationary period.; D) decrease interest rates and throw the economy into a recession.

Note: Correct option: C - decrease interest rates and risk an inflationary period.

3. **Answer:** D

Options: A) the price of a good divided by its marginal utility.; B) the marginal utility of the good divided by its price.; C) the total utility of the good.; D) the difference between the consumer's value and the market price.

Note: Correct option: D - the difference between the consumer's value and the market price.

4. **Answer:** A

Options: A) a monopsony buys from a monopoly; B) a monopoly sells to two different types of consumers; C) a monopoly buys from a monopsony; D) a monopolist sells two different types of goods

Note: Correct option: A - a monopsony buys from a monopoly

5. **Answer:** B

Options: A) nominal GDP falls.; B) the nominal interest rate falls.; C) bond prices fall.; D) the supply of money falls.

Note: Correct option: B - the nominal interest rate falls.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Savers'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Increases Increases Decreases. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Substitution effects and income effects. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key